

around and dip to 14. Then she glanced sideways and noticed the other dip at 14.38. “That's when I found the (inner) head-and-shoulders bottom.”



Figure 40.6 Complex head-and-shoulders bottom on a weekly scale. For a price target compute the pattern's height from the head low to the neckline (vertically) and add the difference to the breakout price. The right shoulders often offer support during future declines.

A neckline connecting the rises between the two shoulders was impossibly steep; there was no way she could apply the traditional measure rule to determine a target price (because price had not closed above the neckline), so she decided to buy into the stock when price closed above the right shoulder high (armpit).

She bought in late May 1994 and received a fill at 17.50.

“I wondered if another pair of shoulders would appear. They did.” During late July, another shoulder appeared at 15.75, mirroring the one in mid-December 1993 (the outer pair of shoulders).

Soon, price began moving up. It climbed above the breakout price in mid-August. Now she was able to apply the measure rule for the complex bottom and found the target was 22.13.